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INITIATING COVERAGE:

Paycom Software

Software & Technology

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Executive Summary

Paycom (NYSE: PAYC) is a pure-play, cloud-based human capital management provider that delivers payroll, HR, time, and talent management on a single in-house database, serving small and medium-sized businesses (SMB) and other mid-market clients with a 91% retention rate and best-in-class margins. We initiate with a Buy rating of \$169.69 fair value, 27% above the initiation price.

Our thesis is threefold: the single-database architecture enables end-to-end automation that acquisition-built peers cannot replicate; the market overprices product cannibalization risk, as revenue per record has increased every year through the automation transition; and cost efficiencies sustain durable margins and free cash flow even if growth remains soft.

The primary risk is the labor cycle, given revenue scales with employment and Paycom's SMB weighting. Key catalysts include continued per-record monetization, margin and FCF progression, continued buyback execution, and new automated product releases, which together close the discount to peers.

Investment Theses

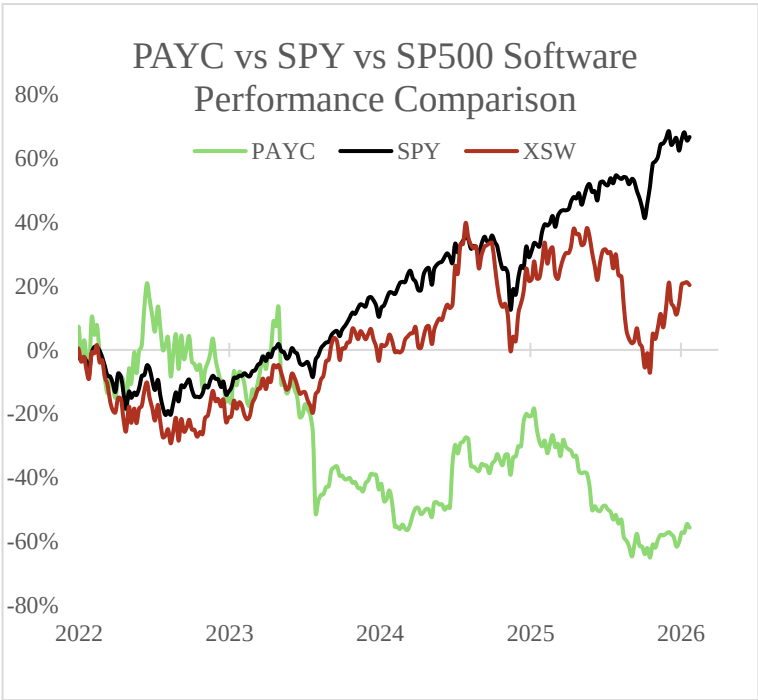
- 1. Architectural differences in platform structure drive long-term competitive advantages
- 2. The market overprices cannibalization risk while revenue per record keeps rising.
- 3. Automation-driven cost efficiencies drive strong margins even as growth normalizes.

Price Target: \$169.69

Implied Upside: +27%

Trading Data and Recent Price Movement

Trading Data	
Price (\$)	\$133.27
Date of Price	July 9, 2026
52-Week Range (\$)	104.90 - 248.90
Market Cap (\$M)	6,214
Enterprise Value (\$M)	6,824
Fiscal Year End	12/31
Shares O/S (M)	46.63
Float (M)	40.83
Avg. Daily Volume	995,761
Dividend Yield	1.12%
Price Target	\$169.69
Upside/Downside %	+27%



Business Overview

Paycom Software (PAYC) provides cloud-based human capital management (HCM) software delivered as a single-database SaaS platform, serving approximately 39,200 clients concentrated in the United States with an early presence in a few European countries. The company generated roughly \$2.05 billion in revenue in 2025, up 9% from the previous year, with about 93% recurring. At adjusted EBITDA margins of 43.0%, with strong free cash flow, low debt, and a 91% annual revenue retention rate, they demonstrate the balance sheet stability and stable cash flows of an established SaaS company. Paycom currently remains founder-led with significant insider ownership and confidence signals, namely a recent \$2B stock repurchase authorization (roughly 1/3 of shares outstanding) funded partly with the company's revolving credit facility on an historically debt-free balance sheet.

Their service offerings span payroll, talent acquisition, talent management, HR management, and time and labor management, all built on a unified system of record that feeds real-time analytics to a customer-facing dashboard. Its core differentiation is automation, where products such as Beti (employee-driven payroll) and GONE (automated time-off decisioning) eliminate repetitive HR and payroll tasks and save customers productivity hours over the long run. iWant, launched in 2025, adds a command-driven generative-AI layer that lets users retrieve answers and complete work without additional training, and management has signaled further AI and automation integrations are a current priority. Employees can access the same Paycom interface through self-service tools spanning pay, tax documents, scheduling, time off, and benefits in a mobile interface, and the platform extends to manager operations, executive analytics, background checks, and compliance services.

In the value chain, Paycom operates as the client's system of record for human capital, built on a single, internally developed database rather than a suite assembled through acquisition and bolt-on integration. Peers such as ADP and Workday have built their platforms through numerous acquisitions, resulting in more complex workflows than a natively built platform. This architecture drives both the automation advantage and the switching costs described above: because all applications draw on one dataset, Paycom can automate workflows end to end and displace multiple point solutions, positioning itself to consolidate spend that would otherwise fragment across vendors.

Business Model

Paycom generates revenue primarily through recurring fees for access to its cloud-based HCM platform, billed either alongside the client's payroll cycle or as a fixed fee per billing period plus a per-employee or per-transaction charge. Recurring revenue accounts for 93.2% of total revenue, with the remainder coming from implementation fees and other services (1.3%) such as background check services, unscheduled (bonus) payroll runs, and annual tax document filings, and, lastly, interest income on funds held for clients (5.5%). The core monetization mechanic is land-and-expand: Paycom typically lands a client on payroll, then grows revenue per client by cross-selling additional services across talent acquisition, talent management, HR management, and time and labor. Because these applications are generally sold in bundles for a single price and Paycom does not disclose revenue by application, the only observable measure of expansion is blended revenue per employee record, not any module-level figure. Calculating this figure across our forecast period allows us to see into what exactly is improving revenue, and their ability to monetize the services they provide to clients (See Key Drivers & KPIs).

The unit economics reflect the typical high-margin, capital-light software model. Blended revenue per employee record (a derived metric showing recurring revenue divided by client employee records stored), runs approximately \$258, and they show strong gross margins of 83% with adjusted EBITDA margins at 43.0% and strong free cash flow conversion. The combination of a high recurring mix, high gross margin, and high retention gives the model operating leverage as clients expand.

Paycom has historically served small and mid-sized North American businesses and management has stated its intent to move upmarket toward larger clients. The company does not disclose a revenue breakdown by client size but has indicated that revenue from clients with more than 1,000 employees has grown faster than total revenue, consistent with a gradual mix shift toward larger accounts. Contract structure is where Paycom shows an unusual profile. Most contracts are not fixed-term and can be canceled on 30 days' notice, yet the average client relationship lasts roughly 10 years. That longevity is not a standalone claim: a 91% annual revenue retention rate mathematically implies an average client life of about 11 years, so the two disclosures reinforce each other. The takeaway is that low contractual lock-in coexists with high effective retention, suggesting the overall stickiness comes from deep integration into a client's core payroll and HR systems and the associated switching costs, not from contractual obligation.

Paycom sells through an internally trained direct sales force spread across 58 teams with each client assigned a dedicated specialist. It maintains a sales presence in most major U.S. metropolitan markets but multiple sales teams in only a handful, leaving room to add capacity within markets it already covers.

Revenue Breakdown

Segment	% of Revenue	FY25 Growth (%)	Notes
Recurring Revenues	93.2%	+10%	Stable revenue with high net retention rate, growth stems from new clients and cross selling
Installation Fees and Other	1.3%	+7%	Grows along new client growth and cross-sales volume
Interest Earned on Client Funds	5.5%	-10%	Highly dependent on interest rates, which decreased in 2025
Total	100.0%	+9%	-

Sources: Paycom 2025 Annual Report, Bloomberg

Management & Guidance

CEO Chad Richison: Chad Richison founded Paycom in 1998 and has served as CEO since inception. Before founding the company, he worked at ADP and later at a regional payroll provider, where he identified the manual-entry inefficiencies that Paycom's online, single-database platform was built to eliminate. Since taking the company public in 2014, he has driven its full-solution automation strategy from the Beti self-service payroll model through the 2025 launch of the iWant AI layer. Richison remains closely aligned with shareholders through an ownership stake of roughly 12-13% of shares outstanding. His continued founder control is a defining feature of the investment case, concentrating strategic vision, conviction on automation, and key-man risk in a single individual.

CFO Bob Foster: Bob Foster became CFO in February 2025, succeeding Craig Boelte, whose tenure spanned nearly two decades. Foster joined Paycom in 2022 to help lead its growth strategy and subsequently served as executive vice president of accounting and finance. His current guidance framework and capital-allocation posture, including the \$2.0 billion buyback authorization and the dividend, are being set by a finance chief still early in his mandate and following a long stretch of continuity under his predecessor. This transition coincides with the very period in which the growth versus automation debate has intensified, so how Foster frames guidance and disclosure is itself worth monitoring.

Management track record: Management has historically skewed conservative in its guidance, particularly around the ramp of new product releases. That posture is visible in the results: Paycom has met or exceeded its initial full-year revenue guidance in each of the last two years and beaten consensus revenue estimates in seven of the last eight quarters. The pattern of setting achievable ranges and clearing them is relevant to how much weight to place on the current guidance, though it also raises the question of whether the more conservative FY2026 outlook reflects the same caution or a real step-down in growth.

Capital Allocation: The capital-light model generates strong free cash flow, allowing Paycom to fund internal investment in R&D and sales while returning capital to shareholders. The board recently authorized a new \$2 billion share-repurchase program, funded with either cash reserves or its revolving credit facility, alongside an annualized dividend of \$1.50 per share. Against a market capitalization of roughly \$6 billion, the authorization is large, and both its scale and funding source signal management confidence at a currently depressed valuation. The shift toward returning capital also reflects the company's transition into a mature, cash-generating phase of its life cycle.

Guidance/plans going forward: Management guided FY2026 total revenue growth to 6-7% and recurring and other revenue growth to 7-8%, both down from the 9% total growth posted in FY2025. The step-down reflects several factors beyond core demand, including initially forecasted rate cuts that reduce interest income on client funds, a softening labor market, and management's established tendency to set conservative initial guidance. Since April, geopolitical factors have significantly altered the rate outlook and as a result we model float and core revenue above guidance to reflect the current environment. Management has signaled no planned M&A and reiterated its priorities of full-solution automation, client ROI, and returning capital through dividends and opportunistic share repurchases.

Industry Overview and Moat Analysis

Industry Overview

For this report, we describe Paycom's market as pure-play HCM software, broader than specific payroll applications but more specialized than the PEO co-employment names that bundle employee benefits and workers' compensation. Market sizing estimates vary widely, from roughly \$25 billion to \$50 billion, with Paycom occupying a management-stated 5 percent. We map the field along three axes: business structure, product scope, and target market.

Along the first axis, HCM vendors operate in two main ways: SaaS software and Professional Employer Organization (PEO) co-employment. The former carries cleaner, recurring software revenue with high margins, no insurance underwriting risk, and gross revenue that equals net revenue. The latter becomes a co-employer of record, pooling clients' employees to buy benefits and workers' compensation at scale, and reports revenue on a gross basis that includes pass-through payroll and benefit dollars that are not the vendor's own economics. This is where multiple comparability breaks down: in hybrid SaaS and PEO names such as Paychex and ADP, inflated top-line revenue and insurance exposure break EV-to-Revenue and margin comparability, which is why we exclude EV-to-Revenue as an input in our relative valuation.

The second axis is product scope, spanning single-function point solutions that cover one workflow such as recruiting or attendance to unified suites that combine payroll, core HR, talent, and more into one system of record. The secular direction is a convergence toward these unified, automated systems: buyers consolidate point tools into single suites to shed the integration difficulties, and the frontier is shifting from feature breadth toward automation and ease of use, with agentic interfaces becoming a baseline expectation. Rising regulatory and compliance complexity across multi-jurisdiction payroll, real-time tax reporting, and data-privacy rules reinforces the pull toward automated platforms, while incomplete cloud migration leaves structural room for continued conversion. This direction favors single-database architectures, which automate across modules without the integration overhead of suites assembled from multiple systems, though the same force cuts both ways: the automation that removes manual administration and reduces errors for the client also erodes the service-driven revenue legacy pricing has historically depended on.

The third axis is target clientele. SMB clients (under 100 employees) are transactional, high-churn, and price-sensitive, sold through inside sales or self-service. Mid-market clients (100 to 2,000 employees) are the sweet spot, complex enough to need a real suite and to make switching costs bite, but short of the heavy customization and request for proposal (RFP) cycles that define the enterprise tier above them.

Mapping the field along these three axes locates Paycom precisely: a pure-play SaaS vendor selling a unified, single-database suite to SMB and mid-market clients while pushing upmarket. More importantly, it disciplines the comparable set, because a valid comp must share Paycom's cell on all three axes rather than merely operate in the same industry. Paylocity is the only public name that does; ADP and Paychex overlap on scope and size but are diluted by their PEO segments; and both the point-solution and PEO pure-plays share very little of the structure that gives Paycom's revenue its quality. That distinction drives both the peer group and the multiples we rely on later.

The competitive field itself sorts into three tiers. Legacy incumbents, ADP, Paychex, and Workday, hold scale and entrenched relationships but run partly acquisition-assembled platforms carrying integration and technical debt. Mid-market SaaS suites, led by Paylocity alongside iSolved and BambooHR, overlap most directly with Paycom's cell. The third tier, and the one that most tests the thesis, is a cohort of well-funded, fast-growing, AI-native challengers, principally Rippling, Gusto, and Deel, built on modern unified architectures and shipping automation quickly. The strategic point is that Paycom's single-database advantage is durable against the incumbents but not unique against this newer cohort, which shares the same architectural design, a threat we take up directly in the moat analysis. It is also important to note the trend of competitive consolidation, with major examples including Paychex's acquisition of Paycor in 2025 and Thoma Bravo's take-private of Dayforce in early 2026. The signal is twofold: scaled and profitable HCM assets are scarce enough to draw strategic and private investor interest, which puts a soft floor under a standalone compounder like Paycom, while the same consolidation thins the set of viable independent public comps.

Despite its recurring revenue profile, HCM software carries cyclicity through two main channels. The first and primary exposure is the labor cycle: because revenue scales with employment through employee records and payroll runs, a softening labor market pressures the top line directly, and SMB-weighted firms are the most exposed, since small-business headcount contracts fastest in a downturn. The second consideration is interest-rate sensitivity. Higher rates lift the interest earned on client funds held in transit, a stream that sits at roughly 5 percent of total revenue, while simultaneously raising the discount rate applied to a long-duration growth model. These effects work in opposite directions, so float income functions as a partial natural hedge and leaves Paycom less rate-sensitive than a comparable software name without a float balance. The cyclical variable that warrants underwriting is therefore the labor market, which we treat as the primary macro risk to the thesis.

Moat Analysis

Paycom sits inside a moated industry shared across all established suite vendors rather than unique to any one of them. The first industry-level moat is customer switching costs rooted in mission-criticality. Payroll cannot be late or wrong, and a botched tax filing carries direct legal and financial exposure for the client, so once a system is embedded, switching costs are high. The second is compliance breadth. The barrier is not any single relationship but the accumulated coverage of thousands of federal, state, and local tax and labor jurisdictions, plus the ongoing cost of maintaining that coverage as rules change. This process is expensive and slow to replicate and is why newer entrants like Gusto and Rippling started narrow before expanding outward. Both barriers are real and durable, but they protect ADP, Paychex, Paycom, and Paylocity alike and are industry-level barriers explaining why the installed base stays, not why any one vendor wins new business.

The firm-specific edge is a cost advantage, and it is the one source in the moat framework that is uniquely Paycom's own rather than shared with the class. Its single-database architecture lets it automate workflows end to end and lowers the structural cost to serve a client, which shows up in best-in-class profitability, adjusted EBITDA margins of 43.0 percent at the top range of the peer set (Paychex's reported 50.3% adjusted EBITDA margin reflects its PEO revenue accounting and is not comparable on a like-for-like basis), and in the falling cost to fulfill we document in Thesis 3, down 10.9 percent in 2025 even as recurring revenue rose 10.3 percent. Unlike switching costs and compliance, Paycom's moat comes from its architecture and automation execution rather than something every incumbent possesses.

Admittedly, this moat must be framed honestly as the single-database design is a real and durable advantage over acquisition-assembled incumbents such as ADP and Workday, but it is not unique against the AI-native cohort of Rippling, Gusto, and Deel, which are built on the same unified principle and ship automation quickly.

Overall, we assess a narrow moat. It is durable at the industry level through switching costs and compliance breadth, and firm-specific through the cost and margin advantage that Paycom's automation produces, but it is narrow because the architectural edge is shared at the frontier. The moat is therefore defensive rather than expansionary, and its long-term durability is dependent on execution. Erosion indicators would be retention slipping from its historical band or the margin leadership that anchors the cost advantage beginning to compress. We define those thresholds explicitly in our thesis invalidation triggers.

Comparable Companies Analysis

Company [Ticker]	Market Cap (\$M)	EV (\$M)	Rev. Growth (%)	Gross Margin (%)	Adj EBITDA Margin (%)	Key Differentiator
Paycom [PAYC]	6,214	6,824	8.9%	83.2%	43.0%	Pure-play SaaS on a single internally built database, serving SMB and mid-market with end-to-end automation. Best-in-class margins and cleanest revenue quality, now pushing upmarket.
Tier 1 (Mature HCM / PEO Providers)						
ADP [ADP]	96,399	97,568	7.1%	46.0%	29.7%	Largest global HCM provider, SMB to enterprise across multiple tiered platforms plus a large PEO segment. Scale is the edge; clients re-implement as they grow.
Paychex [PAYX]	39,369	42,602	16.9%	74.3%	50.3%	SMB-focused payroll and HR on a hybrid SaaS and PEO model, leading 401(k) recordkeeper. Acquired Paycor in 2025, flattering recent headline growth
Tier 2 (Direct Analog)						
Paylocity [PCTY]	6,462	6,238	13.7%	68.8%	26.6%	Closest pure-play peer, a unified mid-market SaaS suite with an engagement tilt. Similar model and size, faster growth but materially lower margins.
Tier 3 (For Reference Only)						
Workday [WDAY]	33,251	32,679	13.1%	75.7%	12.9%	Enterprise-scale cloud HCM and finance suite for the largest organizations. Long, costly implementations and low GAAP margins make it a reference comp.
Dayforce [DAY]*	11,455	12,109	9.5%	46.1%	30.6%	Mid-market to enterprise cloud HCM with real-time payroll. Taken private by Thoma Bravo in early 2026, so figures are FY24 reference only.
Peer Average	37,387	38,239	12.1%	62.2%	30.0%	-

*Figures reflect FY25 values, except Market Capitalization which is the current value as of the date of this report. *Dayforce was acquired and taken private in February 2026 by Thoma Bravo, figures show FY24 values for reference. Sources: Bloomberg, Pitchbook*

Key Drivers & KPIs

Paycom's financial performance is driven by two volume inputs and one price input. Employee records, the count of client employees stored on the platform, are the primary volume driver, since recurring revenue scales directly with the number of records Paycom services rather than with client count alone. Revenue per record, our derived measure of recurring revenue divided by client employee records stored, is the only observable read on whether cross-sell and automation are raising the value of each client. Since Paycom bundles applications at one price and does not disclose module-level revenue, we extrapolate rising revenue per record as improved service monetization. Rising records show the base is expanding; rising revenue per record shows Paycom is monetizing that base more deeply, and healthy growth requires both to move together rather than one carrying the other. Billings, which leads reported revenue, serves as the forward indicator of the two, translating current sales success into the recurring revenue that shows up in later periods. We track all three across the forecast to separate volume-led growth from value-led growth, the distinction that ultimately closes the automation versus cannibalization debate.

KPI Detail

KPI	FY23A	FY24A	FY25A	FY26E	FY27E	Impact
Billings	1,706.7	1,897.3	2,057.3	2,178.7	2,352.7	Leading revenue figure, reflects cash collected
Employee Records (M)	6.8	7.0	7.4	7.7	8.1	Total number of client employees, key for revenue
Revenue Per Record (\$)	229.9	247.7	258.5	267.5	278.2	Monetization of services, ARPU proxy

In \$M unless otherwise stated, Sources: Bloomberg, Paycom 2023,2024,2025 10-K filings, Analyst Estimates

Revenue Model

Revenue is forecast constructed bottom-up in three components: recurring revenue, implementation and other, and interest earned on funds held for clients. Recurring revenue is the engine at roughly 93 percent of the total, with interest on funds held for clients near 5.5 percent and implementation and other near 1.3 percent.

We build recurring revenue from its two KPI drivers, employee-record growth and revenue per record, starting at 8 percent growth in FY2026 to meet the higher end of management's 7 to 8 percent recurring guidance, then accelerating modestly 100 basis points across the forecast as upmarket and international expansion lift record volume, with per-record monetization continuing to rise at a moderated pace because larger accounts carry lower revenue per record but adopt more of the suite. This reflects the model's central tension: FY2026 marks a guided trough, after which the recurring engine reaccelerates.

Implementation and other revenue is modeled as a modestly declining share of recurring revenue, easing from about 1.36 percent in FY2025 to 1.20 percent by FY2029 as automation continues to lower implementation effort per new client, and float income is modeled along the current forward curve, which is broadly stable to modestly higher in the near term before easing in the outer years, so float is not a material drag on the near-term total. The result isolates the durable recurring trajectory from the rate-

driven float volatility so the reader can see that headline deceleration and core deceleration are not the same thing.

Revenue Model					
Segment	FY25A	FY26E	FY27E	FY28E	FY29E
Recurring (Core) Revenue	1912.7	2068.7	2259.1	2466.9	2693.8
Implementation and Other	26.0	28.1	29.4	29.6	32.3
Interest on Funds Held for Clients	113.0	120.9	129.4	144.7	150.9
Total Revenue	2051.7	2217.8	2417.8	2641.2	2877.1
YoY Growth %	8.9%	8.1%	9.0%	9.2%	8.9%

Sources: Paycom FY 2025 10-K Filing, Bloomberg, Analyst Estimates

Margin Bridge

Paycom's gross margin is already high at roughly 83 percent and expands modestly across the forecast toward 84 percent. The driver is the same single-database automation at the center of the thesis: as automated onboarding, payroll, and self-service reduce the manual labor required to implement and support each client, cost of revenue grows more slowly than the recurring base, lifting gross margin. This is an improving cost-to-serve story rather than a pricing story, since Paycom bundles its applications at a single price and does not rely on price increases as a primary lever. Client mix reinforces it modestly, as the shift upmarket toward larger, longer-tenured accounts spreads support costs across more employee records.

Below the gross line, adjusted EBITDA margin expands from 43.0 percent in FY2025 to 44.5 percent in FY2029, driven by savings from the company's newly completed datacenter that reduce software development costs and R&D spend. Sales and marketing scales roughly in line with revenue, as continued upmarket and international expansion requires sustained go-to-market investment. The result is real margin expansion built on structural cost efficiency rather than on operating leverage from a fast-growing top line, which is what underwrites the downside if growth stays soft. Interest income on client funds is a small support to blended margin in the near term under the current rate path and becomes a mild headwind only in the later forecast years as the curve eventually turns lower.

Margin Bridge Detail			
Margin Driver	Impact (bps)	Direction	Explanation
Product Automation	+70bps	Positive	Reduces implementation costs and drives client retention
Upmarket and International Diversification	+30bps	Positive	Diversification goals for both larger and international clients increase client count and recurring revenue
Datacenter-Driven R&D Savings	+50bps	Positive	Company Datacenter reduces development costs and tempers 3rd party compute costs

Note: This table reflects the change in forecasted Adjusted EBITDA margin over the length of our forecast period (FY2029).

Investment Theses

1) Architectural differences in platform structure drive long-term competitive advantages, especially amid the shift to AI-forward and automated solutions

Paycom's core advantage is architectural. The platform was built in-house on a single database, so payroll, HR, time, talent, and every module operate on one system of record with one set of data. This design lets Paycom automate its solution end to end, because a product like Beti or GONE can operate across the entire employee lifecycle without stitching together separate systems or reconciling data between them. The larger upmarket incumbents cannot easily match this, and the reason is structural rather than a matter of effort or spend. Since their platforms were assembled through acquisition, they run multiple underlying systems bridged by integrations, and automation that has to traverse those seams is slower, more brittle, and more expensive and time-consuming to build. This is the durable core of the moat. It is not a feature a competitor can close by shipping a comparable product, because it is a foundation incumbents would have to rebuild to replicate.

The architectural advantage compounds further in new product development and deployment. A single database lets Paycom release new automated modules more frequently and layer them onto the same data without re-implementation, so each addition raises the value delivered to the existing client rather than requiring a new integration. This is the mechanism behind the rising per-record monetization documented in our second thesis, and it is what turns automation into a retention and value driver rather than a one-time feature. As the industry's competitive frontier shifts from feature breadth toward automation and ease of use, the architecture that makes end-to-end automation native is precisely the capability the market is beginning to reward, and Paycom is positioned on the right side of that shift while the acquisition-built incumbents will be forced to invest more and more to reach the same result.

The current runway is long enough for the advantage to play out. Paycom holds a management-estimated 5% share of a large and fragmented HCM market, with a stated goal of extending automation across every part of the software suite and continuing expansion both upmarket and internationally. We frame the market potential as context, not the thesis itself, as Paycom can pursue large swaths of the market with its novel automated solution that incumbents will be slower to release. The honest boundary on the architectural moat is that the single-database design is a real and durable advantage against incumbents, but it is not unique against newer AI-native challengers such as Rippling, Gusto, and Deel, which are built on the same unified, modern architecture. Against the new cohort, the defense is the installed base, the accumulated compliance breadth, and the switching costs detailed in our moat analysis, which is why we frame the moat as narrow rather than wide. But against the peers Paycom competes with today for the same clients and in the future as it moves upmarket, the architectural edge is real, defensible, and compounding.

2) The Street overprices the automation cannibalization risk, and discounts the future benefits of the fully automated solution and increased client value

The consensus view treats Paycom's slowing growth as a structural signal that its automation products are eating the business, eliminating the transactional and corrective payroll revenue that once padded the top line. We read it differently: the headline deceleration is cyclical and execution-driven, and automation is a net tailwind to retention and per-client value. Because Paycom bundles its applications at a single per-employee price and discloses no transactional or application-level revenue, the “cannibalization” argument cannot be evaluated using any single line item; instead, the debate must be settled at the aggregate level. We use revenue per employee record, calculated as recurring revenue divided by employee records on the platform. The benefits of using this metric are threefold: it isolates monetization from headcount growth, excludes float and other income, and answers the central question of the cannibalization debate: as automation removed manual work, did Paycom extract more or less value per employee it services?

The calculated data answers plainly. Revenue per record rose every year of the automation transition, from \$165 in 2020 to \$258 in 2025¹, at a near-9% compound rate, and it grew fastest during the peak Beti-adoption years, up 12% in 2022 and 13% in 2023, exactly when cannibalization fears were the loudest. The decomposition of these figures is even clearer: in 2023, when employee record growth collapsed to 5% from 14% as sales priorities shifted to converting the customer base onto Beti, recurring revenue still grew 19% because value per record grew 13% and carried it forward. A product consuming its own revenue base would show a clear per-record monetization slowdown as it scaled, but with Beti, we see the opposite where monetization per record accelerated through the transition rather than eroding.

The concern was nonetheless real, and we quantify it rather than dismiss it. In late 2023 management acknowledged Beti was eliminating some corrective and re-run payroll activity and that cross-sell sales softened as teams focused on conversion, and it sized the exposure at roughly 5% of revenue. While the Street saw the headline direction as negative, we quantify the downside and compare it to the expected future benefits. That 5% serves as a ceiling on the cannibalization downside, a finite and largely one-time headwind as clients shift away from corrective runs and utilize Beti to its fullest potential. On the other side, the offset has no ceiling: retention has risen from about 90% to 91%, and per-client value climbs as the suite does more of the work, as the per-record series ultimately illustrates. A bounded 5% headwind set against unbounded gains in retention and monetization nets positive over time. Float does not change this picture, because under the current rate path client-fund balances grow and float income is stable to modestly higher rather than rolling off, and the per-record metric excludes it entirely, so reported and recurring growth converge, and the debate rests squarely on the recurring engine.

The result is an asymmetry the market is mispricing. The downside from cannibalization is finite, bounded near 5% of revenue, and largely absorbed, while the upside from retention and per-record monetization is open-ended, and based on the record-level evidence, already compounding. Pricing Paycom as though automation is a structural headwind ignores that the one metric able to adjudicate the question has risen every year, including through the peak of the transition.

¹ FY2020 and FY2021 recurring revenue includes interest earned on funds held for clients, while FY2022 onward excludes it, so the earliest two years are not strictly comparable to later periods.

3) Automation initiatives drive structural efficiency gains that support margins

Our third thesis highlights how Paycom's automation initiatives drive durable efficiency gains and structurally support margin expansion. The cost data shows Paycom is getting more efficient at onboarding and serving clients, and that efficiency supports margin and cash generation even if the top line decelerates. The evidence sits in the deferred contract cost disclosures. Costs to fulfill, the implementation and onboarding spend capitalized per client, fell to \$128.3 million in 2025 from \$144.0 million in 2024, down 10.9%, even as recurring revenue grew 10.3%, and onboarding cost as a share of revenue dropped from 8% to 6%. Costs to obtain, the sales commissions, rose a modest 4.6% to \$116.6 million, so the combined cost to acquire and onboard fell 4.1% while the client base grew. This is the signature of the single-database automation described in our first thesis: when core modules become automated rather than manual, the labor required to bring each client live falls, and it shows up here as declining implementation cost against rising revenue.

We explicitly rule out the alternative explanation, that onboarding spend fell simply because fewer clients were onboarded. Paycom grew its base in 2025 on both measures it discloses, to roughly 20,300 clients on a parent-company basis, up 5%, and roughly 39,200 on a client-code basis, up 4%. Overall, this means more clients were brought on at lower total implementation cost, which demonstrates measurable efficiency gains, not softer volume. Falling cost to serve, rising client count, and improving client retention, all over the same period, is the profile of a business getting structurally more efficient, which is why Paycom sustains adjusted EBITDA margins of 43.0%, at the top of its peer set, with strong free-cash-flow conversion. This structural durability holds even in a slower-growth environment precisely because it is driven by cost efficiency rather than by operating leverage on a fast-growing top line.

This is also our answer to the strongest bear argument, that a company decelerating toward high-single-digit growth derates regardless of the automation debate. The rebuttal is that Paycom's value in a soft-growth scenario does not depend on re-accelerating the top line. Durable margins and cash generation, combined with aggressive capital return, compound value per share on their own. So far in 2026, the company reduced shares outstanding by roughly 17% through buybacks, from the FY2025 average diluted count of 56.1 million to 46.63 million currently and has continued to pay its stable dividend, so even modest revenue growth produces meaningfully higher per-share earnings and cash flow.

Management has not tied its guidance to any demand weakness, reiterating on its most recent call that it saw no indicators of slowing demand, and it framed its early-2026 sales leadership change and department-wide retraining around the full-solution automation pitch as a sales messaging overhaul rather than a response to a demand problem. The reported deceleration reflects cyclical normalization and a shifting rate backdrop affecting float optics, not a broken franchise. A business that defends its margins and returns capital aggressively does not need to re-accelerate to be undervalued, which is why the decelerating-growth narrative does not, on its own, justify the discount the market is applying.

Financial Model

Income Statement

(\$M unless noted)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Revenue	1,693.7	1,883.2	2,051.7	2,217.8	2,417.8	2,641.2	2,877.1
YoY Growth (%)	23.2%	11.2%	8.9%	8.1%	9.0%	9.2%	8.9%
Cost of Revenues	223.7	267.4	263.0	279.4	299.8	322.2	345.3
Operating D&A	52.6	67.2	82.4	93.0	102.3	111.6	120.9
Gross Profit	1,417.4	1,548.6	1,706.3	1,845.3	2,015.7	2,207.4	2,410.9
Gross Margin (%)	83.7%	82.2%	83.2%	83.2%	83.4%	83.6%	83.8%
R&D	199.0	242.6	283.4	277.2	296.2	317.0	345.3
SG&A	705.7	593.0	761.8	820.6	894.6	977.3	1,064.5
Administrative D&A	61.4	78.7	93.9	107.0	117.7	128.4	139.1
Total Administrative Expenses	966.1	914.3	1,139.1	1,204.8	1,308.5	1,422.6	1,548.9
EBIT	451.3	634.3	567.2	640.5	707.2	784.8	862.1
EBIT Margin (%)	26.6%	33.7%	27.6%	28.9%	29.2%	29.7%	30.0%
Total D&A	114.0	145.9	176.3	200.0	220.0	240.0	260.0
EBITDA	565.3	780.2	743.5	840.5	927.2	1,024.8	1,122.1
EBITDA Margin (%)	33.4%	41.4%	36.2%	37.9%	38.3%	38.8%	39.0%
<i>SBC Adjustment</i>	129.8	(22.9)*	118.7	122.0	133.0	145.3	158.2
<i>Adjusted EBITDA</i>	719.3	775.4	882.3	962.5	1,060.2	1,170.1	1,280.3
<i>Adj. Margin (%)</i>	42.5%	41.2%	43.0%	43.4%	43.9%	44.3%	44.5%
Interest Expense	(1.9)	(3.4)	(3.4)	(22.1)	(40.3)	(25.4)	(7.2)
Other Income / (Expense)	23.0	18.1	55.6**	15.0	15.0	15.0	15.0
Pre-Tax Income	472.4	649.0	619.4	633.5	682.0	774.4	869.9
Tax Expense	131.6	147.0	166.0	171.0	184.1	209.1	234.9
Effective Tax Rate (%)	27.9%	22.7%	26.8%	27.0%	27.0%	27.0%	27.0%
Net Income	340.8	502.0	453.4	462.4	497.8	565.3	635.0
Net Margin (%)	20.1%	26.7%	22.1%	20.8%	20.6%	21.4%	22.1%
Diluted EPS (\$)	5.88	8.92	8.08	9.36	11.42	12.97	14.33
Avg Diluted Shares (M)	58.0	56.3	56.1	49.4	43.6	43.6	44.3

Sources: Paycom 2023,2024, 2025 10-K Filings, Analyst Estimates *FY2024:incl \$117.5M SBC reversal **FY2025: incl \$35.6M naming-rights gain

Balance Sheet Snapshot

	FY24A	FY25A	1Q26A
Cash & Equivalents	402.0	370.0	153.9
Net Debt	-	-	609.7
<i>Net Debt / EBITDA (x)</i>	-	-	0.82x
<i>Current Ratio (x)</i>	1.10x	1.09x	1.07x
Total Equity	1,575.9	1,731.5	1,937.3
Debt Maturity Schedule:			
— Near-term (0–2 yr)	-	-	-
— Medium-term (2–5 yr)	-	-	-

Sources: Paycom 2024,2025 10-K Filings, Bloomberg, Analyst Estimates

Free Cash Flow Build

(\$M unless noted)	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
EBIT	634.3	567.2	640.5	707.2	784.8	862.1
Cash Taxes (–)	(144.0)	(152.0)	(172.9)	(191.0)	(211.9)	(232.8)
CapEx (–)	(192.9)	(270.9)	(188.5)	(205.5)	(231.1)	(258.9)
Change in Working Capital (–/+)	11.5	(85.1)*	44.7	43.9	27.5	24.4
D&A	145.9	176.3	200.0	220.0	240.0	260.0
Other Adjustments:						
Increase in Deferred Contract Costs (–)	(125.5)	(92.9)	(70.5)	(69.5)	(68.5)	(73.0)
Deferred Income Tax (+)	5.8	154.4	-	-	-	-
Unlevered FCF	335.2	297.1	453.3	505.3	540.8	581.8
UFCF Margin (%)	17.8%	14.5%	20.4%	20.9%	20.5%	20.2%
Interest Expense (–)	(3.4)	(3.4)	(22.1)	(40.3)	(25.4)	(7.2)
Levered FCF	331.8	293.7	431.3	465.0	515.4	574.6
LFCF Margin (%)	17.6%	14.3%	19.4%	19.2%	19.5%	20.0%

Note: The large step up from FY25 to FY26 is driven mainly by a large reduction in CapEx after the completion of the company's datacenter, and the recognition of a one-time tax receivable. Sources: Paycom 2024,2025 10-K Filings, Analyst Estimates.

**Artificially depressed due to a one-time recognition of a \$78M tax receivable. Note on FCF definition: we expense stock-based compensation rather than adding it back, so our free cash flow runs roughly \$130M to \$170M per year below management's guided figure, which follows the conventional non-GAAP treatment.*

Per Share Data

Per-Share Metrics	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Diluted EPS (\$)	\$8.92	\$8.08	\$9.36	\$11.42	\$12.97	\$14.33
<i>Normalized Diluted EPS (\$)</i>	<i>\$7.30</i>	<i>\$7.62</i>	<i>\$9.36</i>	<i>\$11.42</i>	<i>\$12.97</i>	<i>\$14.33</i>
Revenue / Share (\$)	\$33.45	\$36.56	\$44.89	\$55.45	\$60.61	\$64.91
FCF / Share (\$)	\$5.89	\$5.24	\$8.73	\$10.66	\$11.83	\$12.96
Dividends / Share (\$)	\$1.50	\$1.50	\$1.50	\$1.50	\$1.50	\$1.50
Payout Ratio (%)	17%	19%	16%	13%	12%	10%

Sources: Paycom 2024-2025 10-K Filings, Analyst Estimates

Valuation Methods

Comparable Company Analysis

Peer Multiples Detail					
Company	Ticker	EV/Revenue	EV/EBITDA	P/E (FY26E)	PEG
Paycom	PAYC	4.2x	14.1x	14.2x	0.7x
Automatic Data Processing	ADP	6.0x	20.6x	21.8x	3.5x
Paychex	PAYX	5.9x	12.1x	18.3x	2.4x
Paylocity	PCTY	6.2x	24.4x	14.8x	4.0x
Peer Average	-	6.0x	19.0x	18.3x	3.3x
Peer Median	-	6.0x	20.6x	18.3x	3.5x
PAYC Premium / (Discount) to Median		(1.8x)	(6.5x)	(4.1x)	(2.8x)

Sources: Paycom 2024-2025 10-K Filings, Bloomberg, Analyst Estimates

Relative Valuation					
Metric	PAYC Current	Peer Average	Discounted Multiple	Implied EV (\$M)	Implied Price (\$)
EV / FY25 Adj. EBITDA	14.1x*	19.0x	17.9x	8,658	\$172.61
P / FY26E EPS	14.2x	18.3x	17.2x	8,120	\$161.07
EV / Revenue**	4.2x	6.0x	5.6x	11,591	\$235.51

See Appendix for Valuation Discount Bridge deriving the 6% discount to peer multiples. Sources: Analyst Estimates

*Note: This ratio uses the Bloomberg derived Adjusted EBTIDA (which differs from company filings) in order to fairly evaluate all peer comparable companies.

**Note: We exclude EV / Revenue in the valuation due to limitations in the comps set. Inclusion rewards lowest margin names excessively and ignores difference in business models across a small comps set. Included for context but not used in the valuation.

Discounted Cash Flow Analysis

WACC Build

Component	Value	Source/Assumption
Risk-Free Rate (%)	4.74%	10-yr UST yield
Equity Risk Premium (%)	5.50%	Damodaran
Beta (levered)	0.82	Bloomberg
Cost of Equity (%)	9.25%	CAPM
Pre-Tax Cost of Debt (%)	4.50%	Bloomberg
Tax Rate (%)	27%	Effective Tax Rate
After-Tax Cost of Debt (%)	3.29%	4.5% x (1 – 0.27)
Equity Weight (%)	89.1%	Analyst-Derived
Debt Weight (%)	10.9%	Analyst-Derived
WACC (%)	8.60%	

Sources: Bloomberg, Damodaran Data, Analyst Estimates

DCF Projection

(\$M)	FY26E	FY27E	FY28E	FY29E
Revenue	2,217.8	2,417.8	2,641.2	2,877.1
Revenue Growth (%)	8.1%	9.0%	9.2%	8.9%
EBITDA	840.5	927.2	1,024.8	1,122.1
EBITDA Margin (%)	37.9%	38.3%	38.8%	39.0%
UFCF	453.3	505.3	540.8	581.8
Discount Factor	1.04	1.13	1.23	1.33
PV of UFCF	435.0	446.4	440.0	435.9

Sources: Analyst Estimates

Terminal Value Calculation

Terminal Year UFCF (\$M)	581.8
Terminal Growth Rate (%)	2.50%
Exit EV/EBITDA Multiple (x)	8.50x
Terminal Value — Perpetuity Growth (\$M)	9,781.1
Terminal Value — Exit Multiple (\$M)	9,537.5
PV of Avg. Terminal Value (\$M)	6,945.0
Sum of PV(UFCF) (\$M)	1,757.5
Enterprise Value (\$M)	8,702.5
(-) Net Debt (\$M)	609.7
Equity Value (\$M)	8,092.8
Shares Outstanding (M)	46.63
Implied Share Price (\$)	173.56

*Sources: Analyst Estimates***Sensitivity Analysis**

Because our discounted cash flow output is most sensitive to the discount rate and the terminal assumption, we stress both to show the range around our base case rather than a single point estimate. The first table flexes WACC against the perpetuity growth rate and the second flexes WACC against the exit multiple, with our selected assumptions, an 8.60% WACC, a 2.5% terminal growth rate, and an 8.5x exit multiple, underscored in each. The ranges shown reflect the band of reasonable disagreement around those anchors, so the surrounding cells give a sense of how the valuation shifts under plausible alternative assumptions.

Sensitivity Analysis — WACC vs. Terminal Growth Rate

WACC (↓) / Growth (→)	1.5%	2.0%	<u>2.5%</u>	3.0%	3.5%
8.0%	\$168.26	\$180.96	\$195.97	\$213.98	\$235.99
8.5%	\$155.24	\$165.98	\$178.50	\$193.31	\$211.07
<u>8.60%</u>	\$152.86	\$163.26	<u>\$175.44</u>	\$189.62	\$206.67
9.0%	\$143.97	\$153.15	\$163.74	\$176.09	\$190.69
9.5%	\$134.12	\$142.04	\$151.09	\$161.54	\$173.72

Source: Analyst Estimates

Sensitivity Analysis — WACC vs. Exit Multiple

WACC (↓) / Multiple (→)	7.5x	8.0x	<u>8.5x</u>	9.0x	9.5x
8.0%	\$157.70	\$166.54	\$175.38	\$184.23	\$193.07
8.5%	\$154.92	\$163.60	\$172.28	\$180.96	\$189.64
<u>8.60%</u>	\$154.37	\$163.02	<u>\$171.68</u>	\$180.32	\$188.97
9.0%	\$152.20	\$160.72	\$169.25	\$177.77	\$186.29
9.5%	\$149.54	\$157.91	\$166.28	\$174.65	\$183.02

Source: Analyst Estimates

Probability-Weighted Scenarios

Scenario	Weight (%)	FY26E EPS (\$)	Multiple (x)	Implied Price (\$)	Contribution (\$)	Key Assumptions
<u>Bull</u>	30%	\$11.30	18.3x	\$206.87	62.06	Deceleration reverses, Beti efficiency and automation drive margin expansion, customer growth, and monetization; aggressive buyback continues, float income grows with rate hike
<u>Base</u>	45%	\$9.36	17.2x	\$161.07	72.48	Deceleration stabilizes, margin flat to slightly up, base case buyback
<u>Bear</u>	25%	\$9.03	12.8x	\$115.72	28.93	Beti cannibalization pressures new module revenue, rate cuts compress float income, margins flatten, conservative buybacks, peer discount widens
Probability-Weighted Implied Price					\$163.47	

Sources: Analyst Estimates

ESG Assessment

Dimension	Assessment
Environmental	Above Peers, leading in energy management and renewables, company-owned environmentally sustainable datacenters, 99% use of renewable energy
Social	Good data security and customer privacy practices but limited visibility into ethics and compliance. No history of data breaches or government fines / sanctions
Governance	Good practices across board composition, shareholder-aligned executive compensation, shareholder rights, and audit processes

Notes: For the software industry overall, environmental risks are relatively lower while social and governance issues center around data security and privacy, ethics & compliance, and workforce practices. PAYC shows no warning signs across ESG dimensions and scores above the peer median per Bloomberg.

Source: Bloomberg

Valuation Summary

Method	Implied Price (\$)	Weight (%)	Contribution (\$)
Comparable Company Analysis	\$166.84	35%	58.39
DCF – Perpetuity Growth	\$175.44	25%	43.86
DCF – Exit Multiple	\$171.68	25%	42.92
Probability-Weighted Scenarios	\$163.47	15%	24.52
Price Target			\$169.69

We derive a fair value of \$169.69 per share by blending four methods weighted to balance intrinsic and relative approaches evenly. Two discounted cash flow variants, a perpetuity growth method at \$175 and an exit multiple method at \$172, anchor the intrinsic case. Two relative methods, a peer comparable analysis at \$167 and a probability-weighted scenario set at \$163, anchor the market-based case. We weight the two DCF variants at 25% each and the comparables and scenarios at 35% and 15% respectively. Our base case scenario represents the discounted relative P/E valuation, with both of the outlying scenarios flexing up and down from there. Our valuation methodology places equal 50% aggregate weight on the intrinsic and relative buckets and produces a blended fair value of \$169.69, roughly 27% above the initiation price.

Ownership & Short Interest

The ownership structure is defined by founder concentration sitting beneath a heavily institutional register. Chad Richison holds roughly 6% directly, and a further 6 to 7% sits in Ernest Group, Inc., an entity of which he is the sole director and which is wholly owned by him and trusts for his children. Combining his direct holdings, Ernest Group, and the family trusts, Richison owns approximately 12 to 13% of the company based on the current share count, up from the 10.5% reported in late 2025 due to buybacks reducing total shares outstanding. This ownership stake leaves him as the largest shareholder, even ahead of passive index funds, which is the ownership signal that matters: the founder / CEO retains large, economically meaningful stake and his percentage has risen as the company has repurchased stock around him. The offsetting nuance is that Richison is a regular seller through pre-scheduled stock sales disclosed in advance, so the position reflects retained founder alignment rather than active accumulation.

The remainder of the register is institution-dominated and unremarkable. Reported institutional ownership screens above 100%, an artifact of share repurchases, short selling, and reporting-timeframe differences rather than a real figure, and has historically run in the 80 to 90% range. The largest holders are passive index funds, BlackRock near 12% and Vanguard near 10%, with one notable active position in Harris Associates, the manager behind the Oakmark funds, at roughly 7%. The presence of a recognized value manager as a top active holder is a mild endorsement, but the overall shareholder breakdown carries little contrarian signal and leaves limited float outside institutional hands.

Short interest is modest and not elevated relative to the software and payroll peer group. Shares short represent about 3% of float with roughly 3.3 days to cover, levels that indicate neither a crowded short nor a setup for a squeeze.

Top Shareholder Detail

Metric	Value
Institutional Ownership (%)	107.2%*
	Blackrock: 12%
	Vanguard: 10%
Top 5 Holders	Harris Associates LP: 7%
	**Ernest Group INC: 7%
	Chad Richison (CEO): 6%
Insider Ownership (%)	***7.52%
Short Interest (% of Float)	2.95%
Days to Cover	3.3

**Note: Due to share repurchases affecting shares count, short selling activity, and differences in reporting timeframes, institutional ownership calculates to >100%. Historically, institutional ownership has ranged between 80%-90%.*

***Note: Ernest Group is an entity of which Chad Richison is the sole director; so his true ownership stake ranges from 12-13%.*

****Note: Insider ownership reflects Bloomberg's narrow insider definition and excludes Ernest Group, Inc., which is why the narrative states Richison's combined stake at 12-13%.*

Source: Bloomberg

Catalysts and Timelines

Catalyst	Timeline	Thesis Link	Mechanism
Sustained Rise in Revenue-Per-Record	Q2-Q4 2026	Thesis 2	Structural cannibalization narrative loses support and discount begins to close.
Margin and FCF progression toward management targets	Q2-Q4 2026	Thesis 3	Adj. EBITDA and FCF conversion improving proves the efficiency gains are structural rather than a one-off.
Continued buyback execution against the remaining authorization	Continuing	Thesis 3	Each quarter of aggressive repurchases compounds per-share earnings and signals insider conviction

New automated module releases landing on the single database	Q2-Q3 2026	Thesis 1	Each new product released without re-implementation demonstrates the architectural advantage in action, faster release cadence than acquisition-built peers and new TAM opened at low incremental cost.
Upmarket and international traction	2026-2027	Thesis 1 / 2	Larger-client cohort and Global HCM gaining share shows the architectural edge translates into bigger, stickier deals where the value of end-to-end automation is highest. Extends market expansion runway and dampens the cyclical risk.

Sources: Analyst Estimates, Paycom Investor Relations

Risks and Mitigants

Risk	Probability	Impact	Mitigant
Labor-cycle downturn	Medium	High	SMB exposure is real, but portions of revenue are non-discretionary, upmarket shift dampens cyclical risk over time
Automation cannibalization	Medium	High	Automation savings drive both cross-sell into higher-value modules and new-logo wins on an efficient offering, and revenue per record has risen through the automation transition to date
AI-native competition	Medium	Medium to High	Installed base, switching costs, and accumulated compliance breadth buy time, and continued product velocity (45 products, iWant) defends the frontier near-term
Key-man and founder control	Low	Medium	Natively-grown C-suite and automation strategy reduce but do not eliminate dependencies
Float income decline	Medium	Low	Float is roughly 5% of revenue and functions as a partial natural hedge counter to discount rate, client-fund balances grow over time even when rates are flat

Sources: Paycom Investor Relations, Analyst Estimates

The primary risk we note is PAYC's sensitivity to the labor cycle, because it is the one exposure that hits revenue directly and is largely outside the company's control. Paycom is doubly exposed in a downturn, through lower employee records and payroll volume on the recurring line and through reduced pre-employment and background-check activity as hiring slows. The structural mitigant is the upmarket shift: larger clients churn less and carry more records, which dampens the cyclical risk of the core revenue base

over time, and the compliance-anchored core of payroll and tax filing is non-discretionary regardless of the cycle.

The second material risk is the one the bull case must answer directly, that automation cannibalizes the very revenue it is meant to grow. A non-trivial share of revenue historically came from error corrections and re-run payroll that products like Beti are designed to eliminate. The offset, and the reason we do not treat this as thesis-breaking, is that the same automation drives clients who capture the savings to adopt additional modules and wins new logos on the strength of the efficient offering. We see this as why blended revenue per record has continued to rise rather than fall through the transition into PAYC's era of "complete automation". This metric is the single best place where we monitor the spectrum between cannibalization and monetization, and we define a specific threshold as a thesis invalidation trigger below. While historical periods show a growth slowdown in revenue per record, we attribute this to PAYC's deliberate upmarket shift where larger enterprises carry lower revenue per record, moderating the growth rate of the blended figure rather than reducing it, and the longer sales cycles decrease the total number of new clients that can be landed in a year. This fact is partly offset by a growing sales force, but this falls short due to the management-stated 12 month ramp-up before full capacity as a result of hiring cycles and training requirements. Once sales teams and new products catch up with the larger employee base that defines the enterprise tier, we model per record revenue growth as the product suite expands to match the larger clients they serve. Overall, we see this slowdown in growth as an initial consequence of their entrance into larger and international markets, not a fundamental failure of their business model.

Two broader, AI-driven risks rank below the labor cycle and cannibalization but are worth naming. The first is that enterprises have redirected budgets toward AI investment, tightening discretionary software spend. The second, often labeled the SaaS apocalypse, is that generative AI compresses the cost and time to build software, making products easier to reproduce and eroding sector-wide moats. On the latter, competitors such as Rippling, Gusto, and Deel share the single-database architecture, ship automation quickly, and target the same SMB and mid-market clients. We weight both as moderate rather than thesis-threatening. Payroll and HCM are compliance-mandated rather than discretionary, and Paycom's cost-saving pitch tends to hold up when budgets tighten. Its defensibility rests on the installed base, multi-jurisdiction compliance breadth, and switching costs rather than any single reproducible feature, and the same cost compression that aids newcomers also lowers Paycom's own development cost, as its move to host AI models in-house shows. AI-native competition is a legitimate concern, but the upmarket shift and durable retention are the levers that blunt it over time.

Thesis Invalidation Triggers

We would abandon the thesis and revisit the rating on any of the following measurable conditions:

- Blended revenue per employee record declines year over year for two consecutive quarters. This is the single most important trigger, as it is the direct signal that automation cannibalization is outpacing cross-sell and monetization, invalidating Thesis 2.
- Annual revenue retention falls below 90%, breaking the historical band near 91% and indicating that switching costs and the moat are eroding rather than holding, undercutting Thesis 1.

- Adjusted EBITDA margin compresses below 42% for two consecutive quarters absent a one-time item, signaling that the automation-driven cost advantage that anchors the margin case is deteriorating, which invalidates Thesis 3.
- Recurring revenue growth decelerates below 5% on an organic basis for two consecutive quarters outside of a broad labor recession, which would indicate a structural rather than cyclical break in the growth engine.
- Net debt to adjusted EBITDA exceeds 2.0x on a sustained basis, which would signal that buyback funding has shifted from opportunistic to over-levered and that capital allocation has become a balance-sheet risk rather than a return of value.

Conclusion

We initiate coverage of Paycom with a Buy rating and a \$169.69 fair value, a 27% upside to the initiation price, on the view that the market has mispriced a high-quality, founder-led compounder as a structurally decelerating business.

The case rests on three arguments: a single-database architecture that lets Paycom automate end to end in a way acquisition-built incumbents structurally cannot, a record-level data set showing that automation has raised monetization per employee record every year rather than cannibalizing it, and cost efficiencies that sustain best-in-class margins and free cash flow even if top-line growth stays soft.

The primary risk we underwrite is the labor cycle, since revenue scales with employment and Paycom's SMB weighting leaves it exposed in a downturn, though the upmarket shift and a non-discretionary compliance core dampen that sensitivity over time.

Our conviction is anchored by the setup's asymmetry: meaningful upside to base and bull outcomes against a bounded, clearly triggered downside, with durable margins and aggressive capital return providing the floor. We hold this view with high conviction over a six-to-twelve-month horizon, over which we expect continued per-record monetization, margin progression, and buyback execution to close the discount to peers.

Rating: BUY

Price Target: \$169.69

Upside: 27%

Time Horizon: 6-12 months

Appendix

Supplementary Financial Tables

Comparable Companies Valuation Discount Bridge

Component	Metric	PAYC	Peer Anchor	Raw Gap	Discount	Note
<i>Disadvantages</i>						
Scale & Liquidity	Enterprise Value (\$M)	6,824	48,803	7.2x	5.0%	Sub-\$10B plus software P/E spread
Growth Visibility & Deceleration	Revenue Growth (%)	8.9%	12.6%	3.6%	3.0%	Growth trajectory and Beti overhang
SMB Cyclicalilty	Beta	0.82	0.69	0.13	1.0%	Small disadvantage of added SMB beta
<i>Gross Discount (%)</i>					<i>9.0%</i>	
<i>Offsets</i>						
Margin Leadership	Adj EBITDA Margin (%)	43.0%	35.5%	-7.5%	-2.0%	Stronger margins with heavy automation
Business model and Capital return	-				-1.0%	No PEO risk, aggressive share count reduction and stable dividends
<i>Gross Offset (%)</i>					<i>-3.0%</i>	
Net Valuation Discount					-6.0%	

Sources & Methodology

Company Filings and Disclosures

- Paycom Software, Inc. Form 10-K, fiscal year ended December 31, 2025 (filed February 2026)
- Paycom Software, Inc. Form 10-K, fiscal year ended December 31, 2024
- Paycom Software, Inc. Form 10-Q, first quarter 2026
- Paycom Software, Inc. fourth quarter and full-year 2025 earnings release and supplemental materials (February 2026)
- Paycom Software, Inc. Schedule 13D/A, filed October 2025 (beneficial ownership, Chad Richison and Ernest Group, Inc.)
- Paycom Software, Inc. quarterly earnings call transcripts, 2023 through first quarter 2026

Market and Financial Data

- Bloomberg Terminal
- Damodaran online data
- Peer company filings and earnings releases: ADP, Paychex, Paylocity, Workday, and Dayforce

Industry and Competitive Context

- Business Research Insights
- IBISWorld
- Rippling, Gusto, and Deel Company Websites
- Forbes / Forbes Advisor
- Bloomberg: Paychex acquisition of Paycor (2025) and Thoma Bravo take-private of Dayforce (2026)

Methodology Note

- Valuation derived from a blend of discounted cash flow (perpetuity growth and exit multiple methods), comparable company analysis, and probability-weighted scenarios. Financial model, forecasts, and derived metrics including revenue per employee record and the deferred contract cost analysis are the author's own work built from primary filings.

Disclosures

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Equity Research Group at Northeastern and its members do not hold a position in Paycom Software as of the date of this report. The primary analyst covering this company does not hold this company's stock.

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All estimates and / or claims are the analyst's own unless otherwise sourced.

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